

QUESTION 1

Which accounting discipline is primarily concerned with identifying, measuring, and reporting financial data to external stakeholders like regulators and tax authorities?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. Cost Accounting
- ☐ B. Management Accounting
- ☒ C. Financial Accounting
- ☐ D. Strategic Planning

Correct

 FEEDBACK

It serves external users by providing standardized reports on the financial position and performance of an entity.

QUESTION 2

What is a major limitation of financial accounting?

Answer is Correct

Score: 1 / 1

Options

Correct

- ☒ A. It is purely historical and ignores non-financial data.
- ☐ B. It focuses solely on forward-looking projections.
- ☐ C. It lacks a standardized structure for reports
- ☐ D. It is intended only for internal senior management.

 FEEDBACK

It deals strictly with financial transactions and does not record qualitative events or non-financial metrics like employee productivity.

QUESTION 3

Why does management accounting divide an organization into 'responsibility centers' like cost and investment centers?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. To prepare the annual Balance Sheet
- ☐ B. To ensure compliance with GAAP
- ☒ C. To identify specific departments responsible for cost overruns
- ☐ D. To report to external shareholders

Correct

 FEEDBACK

Categorizing centers allows management to apply accountability and identify where efficiency is lacking.

QUESTION 4

How do performance/variance analysis reports assist managers?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. By providing a summary of historical dividend payments
- ☐ B. By calculating the market value of the company's stock
- ☐ C. By ensuring the company pays the correct amount of tax
- ☒ D. By comparing planned performance against actual outputs

Correct

 FEEDBACK

Variance analysis identifies favorable or adverse differences, allowing managers to take corrective action.

QUESTION 5

A biscuit factory reduces costs by sourcing flour directly from producers instead of wholesalers. This is an application of which management accounting concept?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. Overhead optimization
- ☐ B. Just-In-Time inventory management
- ☒ C. Direct Material cost reduction
- ☐ D. Labor productivity improvement

Correct

 FEEDBACK

Eliminating middlemen in raw material procurement directly lowers the cost of materials used in production.

QUESTION 6

What is the primary baseline used for determining the selling price of a product in management accounting?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. The price set by the government
- ☐ B. The historical stock price
- ☐ C. The amount of cash in the bank
- ☐ D. Total cost (materials, labor, and overheads)

Correct

 FEEDBACK

Pricing cannot exist without costing; the total internal cost serves as the necessary foundation for price determination.

QUESTION 7

A firm decides to keep ₹10,00,000 in a current account instead of investing it in a Fixed Deposit earning 7%. The 7% foregone interest is an example of:

Answer is Correct

Score: 2 / 2

Options

- ☐ A. Variable Cost
- ☐ B. Indirect Overhead
-
- ☒ C. Opportunity Cost
-
- ☐ D. Sunk Cost

Correct

 FEEDBACK

Opportunity cost represents the benefit lost by choosing one alternative over another.

QUESTION 8

If a company has a healthy Gross Profit but a low Net Profit, what does this indicate to management?

Answer is Correct

Score: 2 / 2

Options

Correct

- ☐ A. Indirect costs like administration or marketing are out of control.
- ☐ B. Manufacturing costs are too high.
- ☐ C. The selling price is too low to cover variable costs.
- ☐ D. There is a favorable variance in direct materials.

 FEEDBACK

A low Net Profit despite high Gross Profit suggests that expenses outside of production are eating up the margins.

QUESTION 9

Given: Opening Stock of Raw Materials = ₹50,000, Purchases = ₹4,50,000, and Closing Stock of Raw Materials = ₹1,00,000. What is the Direct Material Consumed?

Answer is Correct

Score: 2 / 2

Options

- ☐ A. ₹3,50,000
-
- ☒ B. ₹4,00,000
-
- ☐ C. ₹5,00,000
- ☐ D. ₹5,50,000

Correct

 FEEDBACK

Calculation: ₹50,000 + ₹4,50,000 - ₹1,00,000 = ₹4,00,000.

QUESTION 10

A company faces a ₹4,000 adverse variance in the production of an AC unit. Why is simply raising the selling price by ₹4,000 often not a viable solution?

Answer is Correct

Score: 2 / 2

Options

- ☐ A. Because it would cause the Prime Cost to become Works Cost.
- ☐ B. Because customers will switch to competitors offering a lower market price.
- ☐ C. Because the adverse variance is a sunk cost that cannot be recovered.
- ☐ D. Because it violates GAAP regulations.

Correct

 FEEDBACK

In a competitive market, prices are dictated by market forces; raising price without adding value results in unsold inventory.

QUESTION 11

A manufacturer of electronics has a Cost of Production of ₹15,00,000. They have opening finished goods worth ₹2,00,000 and closing finished goods worth ₹2,50,000. If the total sales revenue is ₹22,00,000, what is the Gross Profit?

Answer is Correct

Score: 3 / 3

Options

☐ A. 9,50,000

☐ B. 6,50,000

☐ C. 7,00,000

☒ D. 7,50,000

Correct

 FEEDBACK

Gross Profit is Sales minus COGS. COGS is calculated as Cost of Production + Opening Finished Goods - Closing Finished Goods ($15,00,000 + 2,00,000 - 2,50,000 = 14,50,000$). Thus, Gross Profit = $22,00,000 - 14,50,000 = 7,50,000$.

QUESTION 12

A manufacturing unit currently buys raw materials from a wholesaler at ₹120 per unit. By switching to direct sourcing from the producer, the price drops to ₹105 per unit. If the unit requires 15,000 units of material per month, what is the annual financial gain from this cost reduction strategy?

Answer is Correct

Score: 3 / 3

Options

- ☐ A. 18,00,000
-
- ☒ B. 27,00,000
-
- ☐ C. 2,25,000
- ☐ D. 22,50,000

Correct

 FEEDBACK

The monthly saving is $(120 - 105) \times 15,000 = 2,25,000$. Multiplied by 12 months, the annual gain is 27,00,000.